BUSINESS IN A GLOBAL ECONOMY

No business today competes only against the shop down the street. A factory in Vietnam, a bank in London, and a customer in Terre Haute are all part of the same marketplace — whether a company planned for that or not. Today we map how the world economy actually works.

WHAT YOU'RE GETTING FOR YOUR 50 MINUTES

4.1 Identify the implications of the pace of globalization for markets and production.

4.2 Discuss the costs and benefits of international trade.

4.3 Describe the different types of trade barriers.

4.4 Explain the basic strategies of international business.

4.5 Explain how economic factors like exchange rates impact international business.

4.6 List sociocultural, political, legal, and ethical challenges of the global marketplace.

Gold-outlined boxes are in-class activities — that’s your cue to actually participate, not just read.

THE DEFINITION WE BUILD ON ALL CLASS

> **Globalization.** The movement toward a more interconnected and interdependent world economy.

This chapter turns outward: once a business can compete at home, what does it take to compete everywhere else?

OBJECTIVE 4.1

The world as one marketplace

Businesses no longer treat their home country as the edge of the map — markets and production both now stretch across borders.

> **Globalization.** The movement toward a more interconnected and interdependent world economy.
>
> *YOUR OWN EXAMPLE*

Two sides of the same trend

Tap each card — globalization reshapes both where companies sell and where they make what they sell.

> **Globalization of markets.** Businesses increasingly view the entire world as a single marketplace, though products and marketing are still often adapted to local cultures and preferences.
>
> *YOUR OWN EXAMPLE*

> **Globalization of production.** Firms move production activities to countries with lower costs or better quality — through outsourcing (contracting work out) and offshoring (moving operations abroad).
>
> *YOUR OWN EXAMPLE*

What is driving it

- Reduced trade barriers between countries
- Improved transportation of goods and people
- Advances in communication and information technology

> **Multinational corporation (MNC).** A company that owns or controls production or service facilities in countries other than its home country.
>
> *YOUR OWN EXAMPLE*

> **REAL-WORLD EXAMPLE**
> When Toyota builds an assembly plant in Kentucky instead of only exporting cars from Japan, that investment is foreign direct investment (FDI) — a company directly owning operations in another country.

NOTES · 4.1 THE WORLD AS ONE MARKETPLACE

OBJECTIVE 4.2

Why trade at all?

Trade lets countries do what they are relatively good at — but it also creates real winners and real losers.

Two kinds of advantage

Absolute advantage. The ability to produce more of a product than another country, using the same amount of resources.

YOUR OWN EXAMPLE

Comparative advantage. Countries should specialize in the products they can produce relatively more efficiently than other products — even without an absolute advantage.

YOUR OWN EXAMPLE

Weighing it out

Benefits of international trade

- Lower prices for consumers
- More consumer choices
- Better product quality through competition
- Economic growth

Costs of international trade

- Increased foreign competition
- Job losses in some domestic industries
- Reduced market share for some local businesses

IN-CLASS DISCUSSION

Name one industry that benefits from global trade and one industry that faces strong foreign competition.

NOTES · 4.2 WHY TRADE AT ALL?

OBJECTIVE 4.3

Barriers to trade

Trade is rarely completely free — governments intervene with several tools, each for a different reason.

> **Free trade.** The unrestricted flow of goods and services between countries.
>
> *YOUR OWN EXAMPLE*

Five ways governments intervene

Tap each barrier to see how it works.

01 **Tariff**
A tax placed on an imported product, raising its price to protect domestic competitors.

EX.

02 **Subsidy**
Government financial support that lowers a domestic producer's costs, letting it compete against cheaper imports.

EX.

03 **Quota**
A limit on the quantity of a product that can be imported in a given time period.

EX.

04 **Embargo**
A total ban on trade with a particular country, usually for political reasons.

EX.

05 **Local content requirement**
A rule requiring that some portion of a product be manufactured domestically.

EX.

Why countries use them anyway

- National security
- Protecting new (infant) industries
- Protecting domestic jobs
- Responding to unfair foreign competition

Organizations that support trade

WTO. A global organization that negotiates trade agreements and settles trade disputes between member countries.

YOUR OWN EXAMPLE

EU. A political and economic union of European countries that allows largely free movement of goods, services, and people among members.

YOUR OWN EXAMPLE

USMCA. A free-trade agreement between the United States, Mexico, and Canada that replaced NAFTA.

YOUR OWN EXAMPLE

NOTES · 4.3 BARRIERS TO TRADE

OBJECTIVE 4.4

Going global: strategy and entry

Once a company decides to compete abroad, it has to choose both a strategy and a way in.

Three international strategies

Global strategy. Offers a standardized product worldwide, maximizing efficiency by not customizing for each market.

YOUR OWN EXAMPLE

Multidomestic strategy. Adapts products to local markets, prioritizing responsiveness to each country's preferences.

YOUR OWN EXAMPLE

Transnational strategy. Combines global efficiency with local adaptation — the hardest strategy to execute, but often the most competitive.

YOUR OWN EXAMPLE

Six ways to enter a foreign market

01 **Exporting**
Selling domestically produced goods in another country — the lowest-risk, lowest-control option.

EX.

02 **Franchising**
Allowing another business to operate under your brand and business model in exchange for fees.

EX.

03 **Licensing**
Granting a foreign firm the right to produce or sell your product using your patent, trademark, or technology.

EX.

04 **Joint ventures**
Partnering with a local firm to share ownership, risk, and profit in a new business.

EX.

05 **Strategic alliances**
Cooperating with a foreign company without creating a jointly owned entity.

EX.

06 **Wholly owned subsidiaries**
Building or buying full ownership of operations abroad — the highest risk, highest control option.

EX.

REAL-WORLD EXAMPLE
McDonald's modifies menu items in different countries to meet local preferences — McSpicy Paneer in India, Teriyaki Burgers in Japan — a multidomestic touch layered on a mostly global brand.

NOTES · 4.4 GOING GLOBAL: STRATEGY AND ENTRY

OBJECTIVE 4.5

Money across borders

International business runs on more than one currency, and the exchange rate between them changes what everything costs.

> **Exchange rate.** The value of one currency relative to another.
>
> *YOUR OWN EXAMPLE*

Strong dollar vs. weak dollar

Effect	Strong U.S. dollar	Weak U.S. dollar
Imports	Become cheaper	Become more expensive
U.S. exports	Become more expensive	Become cheaper

Keeping score on trade

> **Trade deficit.** Occurs when a country's imports exceed its exports.
>
> *YOUR OWN EXAMPLE*

> **Trade surplus.** Occurs when a country's exports exceed its imports.
>
> *YOUR OWN EXAMPLE*

Other forces at play

- Economic growth
- Government policies
- Infrastructure
- Inflation and unemployment

NOTES · 4.5 MONEY ACROSS BORDERS

OBJECTIVE 4.6

Culture, law, and ethics across borders

Crossing a border means crossing into a different set of norms, rules, and expectations — all at once.

Sociocultural challenges

- Language differences
- Religious beliefs
- Customs and traditions
- Consumer preferences

Political and legal challenges

- Government regulations
- Trade restrictions
- Different legal systems
- Intellectual property protection

Ethical challenges

- Bribery and corruption
- Labor practices
- Environmental concerns
- Human rights issues

Two ideas worth knowing by name

Culture. The shared values, beliefs, and behaviors of a society.

YOUR OWN EXAMPLE

Ethnocentrism. The belief that one's own culture is superior to others — a common trap for companies expanding abroad.

YOUR OWN EXAMPLE

IN-CLASS DISCUSSION

Why might a successful product in the U.S. fail in another country?

NOTES · 4.6 CULTURE, LAW, AND ETHICS ACROSS BORDERS

SPECIAL FOCUS

Free trade vs. protectionism

Every trade barrier is a bet that protecting a domestic industry is worth the higher prices it creates for everyone else. Where should that line sit?

	Free trade	Protectionism
Who benefits most?	Consumers, efficient exporters	Protected domestic industries and their workers
Main tool	Trade agreements (WTO, USMCA)	Tariffs, quotas, subsidies, embargoes
Main risk	Job losses in exposed industries	Higher prices, trade retaliation, less innovation

DISCUSSION QUESTION

Can you think of a U.S. industry that has been protected by tariffs? Was it worth the tradeoff?

Where do you personally land on the free trade ↔ protectionism spectrum?

NOTES · FREE TRADE VS. PROTECTIONISM

CHAPTER 4 · WRAP-UP

Closing the manifest

Define each term in your own words. If you can do all of them without looking, you're ready for the quiz.

DEFINE THESE IN YOUR OWN WORDS

- **Globalization**
- **Multinational corporation**
- **Comparative advantage**
- **Absolute advantage**
- **Free trade**
- **Tariff**
- **Subsidy**
- **Quota**
- **Embargo**
- **Exchange rate**
- **Trade deficit**
- **Trade surplus**
- **Culture**
- **Ethnocentrism**
- **WTO**
- **USMCA**

ACTIVITY MINUTE · BEFORE YOU LEAVE

Which key term from this chapter matters most, and why?

Your one biggest "aha" moment from today.

Where do you personally land — free trade or protectionism?

TOTAL — 50 MIN · PAID IN FULL

Chapter 3 asked what a business owes the people around it. Chapter 4 zooms out further: once a business can compete ethically at home, the whole world becomes its next market — and its next set of rules to learn.